

16-2b The Long-Run Equilibrium

The situations depicted in [Figure 2](#) do not last long. When firms are making profits, as in panel (a), new firms have an incentive to enter the market. This entry increases the number of products from which customers can choose and, therefore, reduces the demand faced by each firm already in the market. In other words, profit encourages entry, and entry shifts the demand curves faced by the incumbent firms to the left. As the demand for incumbent firms' products falls, these firms experience declining profit.

Conversely, when firms are making losses, as in panel (b), firms in the market have an incentive to exit. As firms exit, customers have fewer products from which to choose. This decrease in the number of firms expands the demand faced by those firms that stay in the market. In other words, losses encourage exit, and exit shifts the demand curves of the remaining firms to the right. As the demand for the remaining firms' products rises, these firms experience rising profits (that is, declining losses).

This process of entry and exit continues until the firms in the market are making exactly zero economic profit. [Figure 3](#) depicts the long-run equilibrium. Once the market reaches this equilibrium, new firms have no incentive to enter, and existing firms have no incentive to exit.

Figure 3

A Monopolistic Competitor in the Long Run

In a monopolistically competitive market, if firms are making profits, new firms enter, causing the demand curves for the incumbent firms to shift to the left. Similarly, if firms are making losses, some of the firms in the market exit, causing the demand curves of the remaining firms to shift to the right. Because of these shifts in demand, monopolistically competitive firms eventually find themselves in the long-run equilibrium shown here. In this long-run equilibrium, price equals average total cost, and each firm earns zero profit.

Notice that the demand curve in this figure just barely touches the average-total-cost curve. Mathematically, we say the two curves are *tangent* to each other. These two curves must be tangent once entry and exit have driven profit to zero. Because profit per unit sold is the difference between price (found on the demand curve) and average total cost, the maximum profit is zero only if these two curves touch each other without crossing. Also note that this point of tangency occurs at the same quantity where marginal revenue equals marginal cost. That these two points line up is not a coincidence: It is required because this particular quantity maximizes profit and the maximum profit is exactly zero in the long run.

To sum up, two characteristics describe the long-run equilibrium in a monopolistically competitive market:

- As in a monopoly market, price exceeds marginal cost ($P > MC$). This conclusion arises because profit maximization requires marginal revenue to equal marginal cost ($MR = MC$) and because the downward-sloping demand curve makes marginal revenue less than the price ($MR < P$).
- As in a competitive market, price equals average total cost ($P = ATC$). This conclusion arises because free entry and exit drive economic profit to zero in the long run.

The second characteristic shows how monopolistic competition differs from monopoly. Because a monopoly is the sole seller of a product without close substitutes, it can earn positive economic profit, even in the long run. By contrast, because monopolistically competitive markets have free entry, the economic profit of a firm in this type of market is driven to zero in the long run.

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